

#	Case Name	Tentative
1	ABNG Real Estate Investment LLC vs. Moderna Design Builders Inc 2025-01517652	Motion to Strike Answer Off calendar. See notice filed 6/2/26 (ROA 106).
2	Ace Property and Casualty Insurance Company vs. Northwood Villas Maintenance Corporation 2024-01439117	Motion for Summary Judgment and/or Adjudication Cross-Defendant Truck Insurance Exchange's Motion for Summary Judgement is DENIED. Cross-Defendant's alternative Motion for Summary Adjudication is DENIED as to Issues 1 and 2. Cross-Complainant's evidentiary objections are OVERRULED. Cross-Defendant's Request for Judicial Notice is GRANTED. (Evid. Code §452, subd. (d) [court records].) The Court does not take judicial notice of the truth of the contents of any of the court filings Cross-Defendant requests to be judicially noticed. Cross-Defendant has met its initial burden to show that all of Cross-Complainants causes of action alleged against Cross-Defendant are without merit. (Code Civ. Proc. §437c, subd. (p)(2) [moving party's burden]; <i>Aguilar v. Atlantic Richfield Company</i> (2001) 25 Cal.4th 826, 850-851 [same].) Cross-Defendant has met its burden by showing (1) that its duty to defend terminates once the limits of insurance provided in the primary and umbrella policies has been exhausted (Cross Defendant's SSUMF Nos. 2, 4-9); (2) that it has exhausted all coverage in the settlement of the underlying Lambert action (Cross-Defendant's SSUMF Nos. 33, 38); and (3) there were no other pending claims against Cross-Complainant at the time of the settlement of the Lambert Action (Cross-Defendant's SSUMF Nos.). Cross-Complainant has met its shifted burden to establish a triable issue of material fact. Cross-Complainant argues that Cross-Defendant's conduct in offering the policy limit to settle the <i>Lambert</i> action without obtaining a release from a right to indemnity from Cross-Complainant's co-defendant in the Lambert action at the time of settlement amounts to a breach of the insurance agreement. Specifically, Cross-Complainant contends there is a triable issue regarding Cross-Defendant's knowledge of the potential subrogation claim and Cross-Defendant's failure to inform Cross-Complainant of the potential subrogation claim prior to finalizing the settlement of the Lambert Action. (See Cross-

Complainant's SSAUMF Nos. 7-16.)

Cross-Defendant argues that it cannot be held liable for a bad faith breach of insurance agreement because it

"What is good faith is essentially a question of fact." (*Kinder v. Western Pioneer Ins. Co.* (1965) 231 Cal.App.2d 894, 900.) Here, the questions of whether Cross-Defendant's decision to agree to the settlement of the *Lambert* action despite being aware of Ace's intent to pursue subrogation against Northwood and Cross-Defendant's attempt to apprise Cross-Complainant of Ace's intent to seek subrogation by sending a letter to Powerstone were reasonable conduct under the circumstances are questions of fact that should be resolved at trial. The Court is not going to engage in weighing the Parties' respective evidentiary showings to determine whether Cross-Defendant's conduct in settling the Lambert Action without obtaining a waiver of subrogation from Ace was reasonable.

Cross-Defendant relies upon *Aetna Casualty & Surety Co. v. Superior Court* (1980) 114 Cal.App.3d 49. The Court finds *Aetna* to be distinguishable because in that case, the subsequent wrongful death claim had not accrued at the time of the original settlement. Here, on the other hand, it is not disputed that Cross-Defendant was aware of Ace's intent to seek subrogation with respect to the funds it paid as part of the settlement of the Lambert Action.

The Court finds Cross-Complainant's citation to *Coe v. State Farm Mutual Auto. Ins. Co.* (1977) 66 Cal.App.3d 981 to be more persuasive. "When a claimant offers to settle an excess claim within policy limits .. the carrier is required to evaluate the settlement offer in good faith, and good faith requires it to Consider the interest of the assured equally with its own." (*Id.* at 994.) In *Coe* an insurer's acceptance of an offer which would have left its insured exposed to a recoupement action was held to be a breach of the implied covenant of good faith. While *Coe* did not specifically deal with a subrogation claim by a co-defendant, the court finds the situation presented in *Coe* to be sufficiently analogous to warrant denial of the motion. The question of whether Cross-Defendant's conduct in accepting the offer in light of its knowledge of Ace's intent to seek subrogation and the reasonableness of Cross-Defendant's provision of notice of Ace's intent to Cross-Complainant are questions of fact that preclude finding no liability as a matter of law.

With respect to the second cause of action for declaratory relief,

		the Court finds that the declaratory judgment Cross-Complainant seeks is an appropriate subject for a declaratory relief action. Cross-Defendant argues that declaratory relief is not necessary or proper because the Cross-Complaint only seeks to redress past wrongs, but the Court finds there is an ongoing ripe controversy as to the Parties respective rights and duties under the relevant insurance policies as it pertains to Cross-Defendant's duty to defend Cross-Complainant with respect to Ace's subrogation claim. Accordingly, the motion is denied as to both noticed issues. Cross-Complainant shall provide notice of this ruling.
3	Casate vs. Allview Real Estate 2026-01542936	Demurrer to Complaint Motion to Strike Complaint Continued. See minute order dated 6/23/26 (ROA 37).
4	Gallagher vs. Oak Tree Business Systems, Inc. 2021-01232788	Motion for Bifurcation Off calendar. See minute order dated 6/11/26 (ROA 167).
5	Garay vs. L'Abri Management, Inc 2026-01553144	Demurrer to Complaint Defendants L'Abri Management, Inc.; Beccy Hasselbarth, and individual and as Trustee of the Beccy Hasselbarth Trust dated February 1, 2018; and Fay Gallegos' Demurrer to the Complaint is OVERRULED in part and SUSTAINED in part. Fifth Cause of Action – Intentional Infliction of Emotional Distress To state a cause of action for Intentional Infliction of Emotional Distress ("IIED"), the plaintiff must allege: (1) outrageous conduct by the defendant; (2) the defendant's intention of causing or reckless disregard of the probability of causing emotional distress; (3) the plaintiff's suffering severe or extreme emotional distress; and (4) actual and proximate causation of the emotional distress by the defendant's outrageous conduct. (<i>Yau v. Santa Margarita Ford, Inc.</i> (2014) 229 Cal.App.4th 144, 161.) For conduct to be outrageous for purposes of IIED, the conduct must be so extreme as to exceed all bounds of that usually tolerated in a civilized society. (Id.) In addition, "[the defendant's] conduct [must be] directed at the plaintiff, or occur in the presence of a plaintiff of